SUBMISSION TO LTA'S PUBLIC CONSULTATION ON COE CATEGORISATION FOR CARS

COE Categories A and B: Evidence from the Bidding Record, 2010-2026

Jacob Ong, independent researcher, writing in a personal capacity (ORCID 0009-0005-4438-9657).
This note takes no view on the proposals.
Data and code: github.com/jacobbuildmodel/coe-analysis, folder lta-ab. Data to October 2026, first bidding exercise.

Summary

Since May 2022 the Category B premium was $7,500 or more above Category A's in 82 per cent of bidding exercises (88 of 107); in the latest exercise in this note (October 2026, exercise 1) the gap was $99.

- Category A cleared above Category B in 3 of the 10 bidding exercises from February to June 2026, consistent with paragraph 1.8 of the consultation paper, and in 21 of 397 exercises since January 2010 (403 were scheduled to October 2026, exercise 1; no bidding was held in April to June 2020, six exercises).
- Premium gap: the median gap between the Category B and Category A premiums was $9,010 since January 2010 and $17,999 since May 2022; median gap as a share of Category A's premium: 16 and 18 per cent. The consultation paper's example band steps are $7,500 and $15,000.
- Renewal-price (PQP) gap: in October 2026 the Prevailing Quota Premium (PQP), a three-month average of premiums used to price COE renewals, was $2,901 higher for Category B than for Category A (2.3 per cent of Category A's PQP). The median monthly difference was $4,930 (4 per cent) over the last 12 months and $19,254 (20 per cent) since May 2022.

1. Crossings of the Category A and B premiums (consultation question 1)

Paragraph 1.8 of the consultation paper states that "from Feb to Jun 2026, Category A price exceeded the Category B price on three occasions". The bidding record is consistent with this: Category A cleared above Category B in the second exercises of February, April and June 2026, and in none of the other 16 exercises held in 2026 up to the cut-off. Category A cleared above Category B in 21 of 397 exercises since January 2010 (in 2013, 2016-2018, 2020 and 2026), in 3 of 107 since May 2022, in 3 of the last 24, and not in the latest exercise (Figure 1, panel A). The largest amount by which Category A cleared above Category B was $16,599, in the first exercise of March 2013. Category A's eligibility criteria changed in 2014 and 2022 (para 1.6), so the composition of each category was not constant over the period.

2. The size of the gap between Categories A and B (consultation question 1)

Paragraph 2.17 identifies "the historical price gaps between Category A and Category B" as "one possible reference point" for the feebate amounts. Table 1 summarises the gap over the four windows. Its median was $9,010 since January 2010, $17,999 since May 2022 and $3,784 over the last 12 months. As a share of Category A's premium, the median gap was 16 per cent since January 2010 and 18 per cent since May 2022; by calendar year it ranged from 2 per cent (2026) to 39 per cent (2012). Table 1 also shows how much the gap moved compared with the same exercise 6 and 12 months earlier, and each category's median quota and bids received per certificate. Since May 2022 the gap ranged from Category A $2,009 above B (April 2026) to Category B $50,335 above A (November 2023); in the latest exercise Category B was $99 above A.

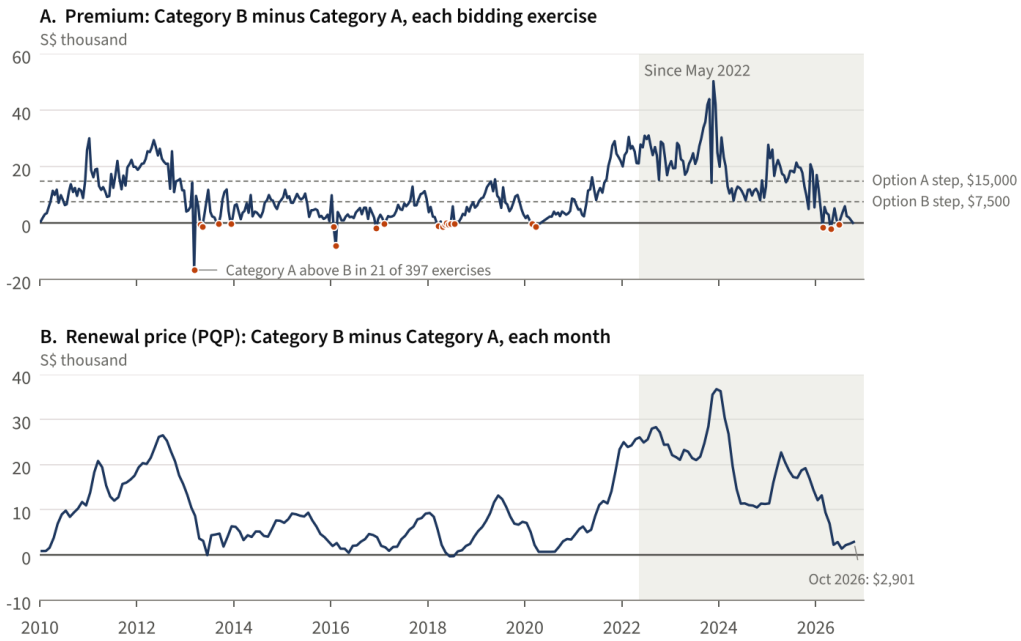
Table 1. Category B premium minus Category A premium, and the quota and bids for each category, per bidding exercise, by window

	Since January 2010	Since May 2022	Last 12 months	Latest exercise
Exercises	397	107	24	1
Median gap	$9,010	$17,999	$3,784	$99
Median gap as a share of Category A's premium	16%	18%	3%	0.1%
Gap of $7,500 or more	225 (57%)	88 (82%)	5 (21%)	0
Gap of $15,000 or more	117 (29%)	64 (60%)	3 (13%)	0
Gap of $30,000 or more	11 (3%)	9 (8%)	0 (0%)	0
Typical change in the gap compared with 6 / 12 months earlier	$5,453 / $6,603	$7,001 / $9,512	$7,929 / $15,228	$2,901 / $12,796
Median quota per exercise, A / B	966 / 711	978 / 671	1,265 / 831	1,232 / 945
Median bids received per certificate, A / B	1.42 / 1.46	1.41 / 1.46	1.42 / 1.44	1.27 / 1.19

Notes: Windows as defined in Data and method; the latest exercise is October 2026, exercise 1. Typical change: the median of the absolute changes in the gap, comparing each exercise with the same exercise 6 or 12 months earlier. Bids received per certificate: bids received divided by the quota, per exercise; the row gives the median. $7,500 and $15,000 are the steps between adjacent bands in the consultation paper's Options B and A; under both options the lowest and highest bands differ by $30,000 (paras 2.18(a)-(b)). The two $2,901 figures in this note, the latest exercise's 6-month change in the gap and the October 2026 PQP gap (section 3), come from different series. Nominal dollars.

Sources: LTA via data.gov.sg (COE bidding results); author's calculations.

Figure 1. Category B minus Category A, January 2010 to October 2026



Notes: Panel A shows each bidding exercise; orange markers denote exercises in which Category A cleared above Category B. Dashed lines mark the band steps in the consultation paper's examples (para 2.18). Panel B shows the monthly PQP. Shading marks the period since May 2022 (window 2). Nominal dollars. Sources: LTA via data.gov.sg; SingStat table M651121; LTA, M11 COE Results 2025-2026; author's calculations.

3. Renewal prices (consultation question 1)

Paragraph 2.19 states that owners of Category A and B cars "already pay broadly similar PQPs when renewing". This is consistent with the last 12 months (median $4,930, 4 per cent of Category A's PQP), during which the monthly difference between the two PQPs ranged from $1,390 to $16,941, and with October 2026 (2.3 per cent). Over longer windows the difference was larger: its median was $8,668 (15 per cent) since January 2010 and $19,254 (20 per cent) since May 2022. In October 2026 the PQP was $128,715 for Category A and $131,616 for Category B, a difference of $2,901 (Figure 1, panel B). Category A's PQP was at or above Category B's in three months, June 2013, June 2018 and July 2018, and in none since May 2022.

4. Quota shares and Category E (consultation question 2)

Category E, the open category that can register any vehicle except motorcycles (para 1.3), received 15 per cent of the combined Category A, B and E quota since January 2010 and 11 per cent since May 2022. Category A received

57 and 59 per cent of the combined Category A and B quota. Category E cleared at or above both Categories A and B in 274 of 397 exercises since January 2010 and in 74 of 107 since May 2022 (Table 2).

Table 2. Category E against Categories A and B, by window

	Since January 2010	Since May 2022	Last 12 months	Latest exercise
Exercises	397	107	24	1
E at or above both A and B	274	74	20	1
E at or above B but below A	7	0	0	0
E below B	116	33	4	0
Median of each exercise's E minus B premium	$623	$888	$2,720	$6,900

Notes: Counts of bidding exercises by where Category E's premium cleared against Categories A and B in the same exercise; the three middle rows sum to the exercises. The last row is the median, over the exercises in each window, of Category E's premium minus Category B's in the same exercise. Windows as in Table 1. Nominal dollars.

Sources: LTA via data.gov.sg (COE bidding results); author's calculations.

Scope

The figures describe clearing prices and quotas. A premium is the price that cleared one category's quota in one exercise; it is not a measure of vehicle value, and it does not indicate what prices would be in a merged pool. The data do not show renewal volumes, or which vehicles were registered with Category E certificates (para 2.22).

Data and method

- **Windows:** (1) January 2010, exercise 1, to October 2026, exercise 1; (2) since May 2022, exercise 1, when Category A's power threshold for electric cars rose from 97kW to 110kW (LTA news release, 14 April 2022); (3) the last 12 months, 24 exercises; (4) the latest exercise, or for the PQP the latest month. PQP windows cover the months from the same dates. Windows were set by the start of the record and the 2022 rule change, not by the results; the 2014 change falls inside window 1 (section 1).
- **Bidding results:** LTA via data.gov.sg (dataset d_69b3380ad7e51aff3a7dcc84eba52b8a), retrieved 11 October 2026.
- **PQP:** SingStat table M651121 via data.gov.sg (dataset d_22094bf608253d36c0c63b52d852dd6e) and LTA, M11 COE Results 2025-2026.
- **Cross-checks:** the bidding file matched an earlier copy in all 1,965 overlapping rows; its Category A and B premiums matched SingStat in all 394 exercises SingStat covers; the PQP, recomputed as a three-month average of premiums, matched all 392 published values to within $1. Two documented corrections to 2010 values were applied.
- **Reproduction:** every figure in this note is produced by lta-ab/10_facts.py and checked against a number manifest.